Samsung Heavy Industries
(010140 KS)

Yong-min Kim
Shipbuilding/Auto
yongmin.kim@yuantakorea.com

3Q26 review: no-surprise results

3Q26 OP comes to W338bn, profitability also improves QoQ

Despite seasonal factors (fewer working days), the company achieved a 3Q26 OPM of 10.7% (+0.6%p QoQ), reaping the rewards of its 100% forex hedging stance. The company maintained a 75% commercial vessel to 25% offshore revenue mix by simultaneously pursuing top-line expansion through global operations in the commercial vessel business and expanding floating LNG (FLNG) revenue in the offshore business.

Confidence in dominant position in FLNG market

Regarding the attempts of competitors to enter the FLNG market, management explained that no direct competition is currently perceived across its active pipeline, and that it will be able to maintain a firmly dominant position in FLNG production over domestic peers. Going forward, FLNG order disclosures following final investment decisions (FIDs) should serve as a means to prove the company's competitiveness in the offshore business.

Share price differentiation to hinge on FDC

With new expectations unlikely to emerge in the commercial vessel order market, the potential for the firm's share price to outperform peers hinges on progress in FDC-related contracts, as: 1) external variables including labor and raw material costs affect the entire sector; 2) the company actually faces no uncertainty on the forex front; and 3) its exposure to Korea-US naval defense cooperation is limited.

Maintain BUY, but revise down target price to W34,000

We revise down our target price as we lower the target P/O multiple for the commercial vessel business (from 0.9x to 0.8x). Although we reflect a conservative view on future commercial newbuilding order demand in our target price, we believe the stock is trading at a discount to its fair value due to a sector-wide pullback driven by weakening investor sentiment regarding the MASGA theme in 2026. Share price upside triggers include: 1) securing the Mousterian FDC project order; 2) additional FLNG order wins; and 3) further won appreciation.

BUY (M)

Target price	W34,000 (Down)
Previous target price	W38,000
Current price (Oct 29)	W15,720
Upside potential	116%

Market cap (Wbn)	13,834
Shares outstanding	880,114,845
Avg daily T/O (2M, Wbn)	60
Avg daily volume (2M, shrs)	2,994,871
52-week high/low (won)	34,400 / 15,720
Foreign ownership (%)	28.13%
Dividend yield (%)	0.00%
Major shareholders	Samsung Electronics & others

Stock performance

(%)	1M	3M	12M
Absolute	(18.7)	(19.0)	(47.6)
Relative	(5.9)	(22.7)	(64.0)
Abs (US$)	(17.5)	(12.3)	(43.9)

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	3,150	19.6	-2.5	3,183	-1.0
OP	338	42.1	4.1	350	-3.3
Pre-tax net profit	262	85.4	-12.8	442	-40.8
Net profit, CI	263	85.4	17.4	336	-21.6
OPM (%)	10.7	+1.7 %pt	+0.6 %pt	11.0	-0.3 %pt
NPM (%)	8.4	+3.0 %pt	+1.5 %pt	10.5	-2.1 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	9,903	10,650	12,875	14,176
OP	503	862	1,361	1,986
Net profit, CI	64	546	1,166	1,652
P/E (x)	132.0	26.3	11.9	8.4
P/B (x)	2.2	3.4	2.6	2.0
EV/EBITDA (x)	14.9	13.9	8.8	5.8
ROE (%)	1.8	13.7	25.1	28.2

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Samsung Heavy Industries: target price and valuation

		2026E
Commercial	Order backlog (Wbn)	32,000
	Target P/O (x)	0.8
	Fair value (Wbn)	**25,600**
Offshore	Annual NOPAT (Wbn)	429
	Target P/E (x)	10
	Fair value (Wbn)	**4,287**
Total	Fair value (Wbn)	29,887
	Number of shares (mn)	880
	Target price (won)	34,000

Source: Yuanta Securities

Samsung Heavy Industries: quarterly and full-year earnings forecast

(Wbn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	2,494	2,683	2,635	2,838	2,902	3,231	3,150	3,592	10,650	12,875	14,176
YoY	6.2%	6.0%	13.4%	5.1%	16.4%	20.4%	19.6%	26.6%	7.5%	20.9%	10.1%
OP	123	205	238	296	273	325	338	424	862	1,361	1,986
YoY	58.1%	56.7%	98.6%	70.0%	121.9%	58.7%	42.1%	43.1%	71.5%	57.8%	45.9%
OPM (%)	4.9%	7.6%	9.0%	10.4%	9.4%	10.1%	10.7%	11.8%	8.1%	10.6%	14.0%

Source: Yuanta Securities

Samsung Heavy Industries: estimated and actual quarterly revenue mix by order year

All vessel types	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	3Q26 (actual)
2022	67%	59%	50%	38%	30%	19%	**15%**	**15%**
2023	25%	32%	36%	38%	40%	43%	**42%**	**30%**
2024	8%	9%	14%	22%	27%	33%	**33%**	**Remainder**
2025	0%	0%	0%	2%	3%	5%	**8%**	**Remainder**

Note: 2023 series container ship orders running down faster than estimated
Source: Yuanta Securities

Samsung Heavy Industries (010140 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**9,903**	**10,650**	**12,875**	**14,176**	**14,755**
Cost of sales	8,983	9,276	10,951	11,600	11,836
Gross profit	921	1,374	1,924	2,576	2,920
SG&A	418	512	563	591	625
Operating profit	**503**	**862**	**1,361**	**1,986**	**2,294**
EBITDA	792	1,146	1,641	2,264	2,570
Non-operating profit	-818	-212	187	207	227
Forex gains	109	-125	100	100	100
Net interest income	-192	-115	-74	-54	-34
Equity-method gains	0	0	0	0	0
Other	-735	29	161	161	161
Net prof before income tax	-316	650	1,547	2,192	2,521
Income tax	-369	115	402	570	655
Net profit from continuing ops	54	536	1,145	1,622	1,866
Net profit from discontinued ops	0	0	0	0	0
Net profit	54	536	1,145	1,622	1,866
NP for controlling interest	**64**	**546**	**1,166**	**1,652**	**1,900**
Total comprehensive income	340	346	955	1,432	1,675
Total comprehensive income, CI	355	354	979	1,468	1,718

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**9,370**	**7,407**	**7,584**	**8,323**	**9,366**
Cash & cash equivalents	956	773	788	1,396	2,289
Accounts receivables & other	1,186	1,422	1,419	1,473	1,610
Inventory	452	490	534	571	600
Non-current assets	7,825	7,542	7,469	7,388	7,298
Tangible assets	5,116	5,107	5,080	5,056	5,034
Investment in affiliates	0	0	0	0	0
Other investment assets	1,680	1,532	1,490	1,437	1,372
Total assets	**17,195**	**14,949**	**15,053**	**15,711**	**16,664**
Current liabilities	12,029	9,422	8,736	8,118	7,584
Accounts payable & other	946	1,023	1,236	1,361	1,417
ST financial liabilities	2,156	1,454	1,289	1,105	902
Liquid LT liabilities	926	277	-19	-187	-227
Non-current liabilities	1,416	1,432	1,267	1,112	923
LT financial liabilities	62	17	6	-2	-7
Debentures	75	299	284	265	242
Total liabilities	**13,445**	**10,854**	**10,003**	**9,230**	**8,506**
Equity, controlling interest	3,795	4,149	5,124	6,586	8,296
Paid-in capital	880	880	880	880	880
Capital surplus	4,496	4,496	4,496	4,496	4,496
Retained earnings	-2,136	-1,603	-437	1,215	3,114
Equity, non-controlling interest	-45	-54	-75	-104	-139
Total equity	**3,749**	**4,095**	**5,050**	**6,482**	**8,157**
Net debt	**3,407**	**1,688**	**758**	**-505**	**-1,866**
Total debt	6,524	3,881	3,251	2,762	2,368

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**655**	**1,563**	**2,432**	**2,773**	**2,891**
Net profit	54	536	1,145	1,622	1,866
Depreciation & amortization	286	279	277	274	272
Forex gains	3	20	-100	-100	-100
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	118	577	1,049	915	793
Other	194	151	61	61	60
Investing cash flow	**311**	**-480**	**-501**	**-371**	**-268**
Investment	-9	-15	41	54	64
Increase in tangible assets	-173	-216	-250	-250	-250
Decrease in tangible assets	384	22	0	0	0
Other	110	-271	-293	-175	-82
Financing cash flow	**-599**	**-1,267**	**747**	**888**	**983**
ST financial liabilities	1,686	-1,968	-139	-148	-157
Debenture/LT financial liabilities	203	-674	-491	-341	-237
Equity	0	0	0	0	0
Cash dividend	0	-1	0	0	0
Other cash flow	-2,488	1,377	1,377	1,377	1,377
Consolidation adj and other	6	1	-2,662	-2,682	-2,713
Increase in cash & equivalents	**372**	**-183**	**16**	**608**	**893**
Beginning cash & equivalents	584	956	773	788	1,396
Ending cash & equivalents	956	773	788	1,396	2,289
NOPLAT	503	862	**1,361**	**1,986**	**2,294**
FCF	**481**	**1,347**	**2,182**	**2,523**	**2,641**

Valuation

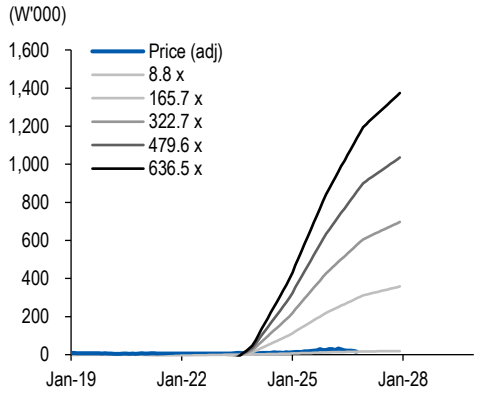
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	73	620	1,325	1,877	2,159
BPS (won)	4,443	4,857	6,000	7,711	9,712
EBITDA/shr (won)	900	1,302	1,865	2,572	2,920
SPS (won)	11,252	12,101	14,629	16,107	16,765
DPS (won)	0	0	0	0	0
P/E (x)	**132.0**	**26.3**	**11.9**	**8.4**	**7.3**
P/B (x)	**2.2**	**3.4**	**2.6**	**2.0**	**1.6**
EV/EBITDA (x)	**14.9**	**13.9**	**8.8**	**5.8**	**4.6**
P/S (x)	**0.9**	**1.3**	**1.1**	**1.0**	**0.9**

Key financial data

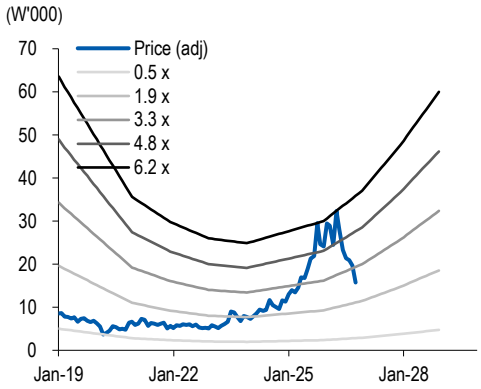
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**23.6**	**7.5**	**20.9**	**10.1**	**4.1**
Operating profit (%YoY)	**115.4**	**71.5**	**57.8**	**45.9**	**15.6**
Net profit, CI (%YoY)	**TTB**	**754.1**	**113.7**	**41.7**	**15.0**
Gross margin (%)	9.3	12.9	14.9	18.2	19.8
Operating margin (%)	**5.1**	**8.1**	**10.6**	**14.0**	**15.5**
Net margin, CI (%)	0.6	5.1	9.1	11.7	12.9
EBITDA margin (%)	8.0	10.8	12.7	16.0	17.4
ROIC (%)	-1.8	17.5	28.2	39.3	41.9
ROA (%)	0.4	3.4	7.8	10.7	11.7
ROE (%)	**1.8**	**13.7**	**25.1**	**28.2**	**25.5**
Debt-to-equity (%)	358.6	265.0	198.1	142.4	104.3
Net debt-to-equity (%)	89.8	40.7	14.8	-7.7	-22.5
OP/financing cost (x)	2.4	6.1	14.2	24.5	33.2

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

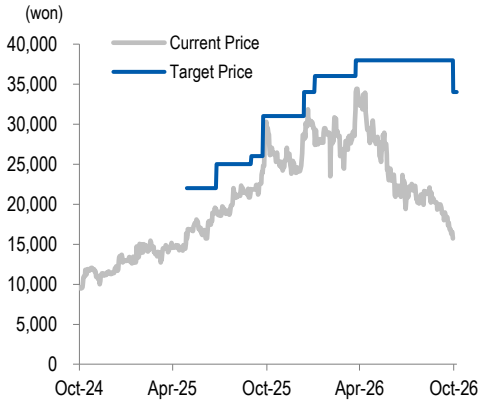
P/E band chart



P/B band chart



Samsung Heavy Industries (010140 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/30	BUY	34,000	1 yr		
2026/04/23	BUY	38,000	1 yr	-38.25	-9.47
2026/02/02	BUY	36,000	1 yr	-22.09	-11.67
2026/01/12	BUY	34,000	1 yr	-11.64	-6.32
2025/10/24	BUY	31,000	1 yr	-16.09	-2.26
2025/10/01	BUY	26,000	1 yr	-13.15	-7.31
2025/07/25	BUY	25,000	1 yr	-18.32	-10.60
2025/05/28	BUY	22,000	1 yr	-20.95	-11.05

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 30, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

Global disclosures & disclaimers

This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only. It is copyrighted material and may not be reproduced, transmitted, quoted, or distributed in any manner without the prior written consent of Yuanta Securities Korea Co., Ltd.

As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not own 1% or more of the subject company's shares outstanding. As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not have any special interests in the subject company.

The material contained herein was not disclosed by Yuanta Securities Korea Co., Ltd. to any institutional investors or third parties prior to its publication. The analyst (s) of this report or the analyst (s)' spouse does not have any financial interest in the securities of the subject company (ies) mentioned herein, nor financial interest of any nature related to the subject company (ies) (including without limitation, whether it consists of any option, right, warrant, future, long or short position), as of the publication date of this report.

NOTICE TO US INVESTORS: This research report is the product of Yuanta Securities Korea Co., Ltd., which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (US) and are not associated person(s) of any US regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a US broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with US rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account.

Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the US Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major US Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any US person which is not a Major US Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major US Institutional Investors, Yuanta Securities Korea Co., Ltd. has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: BancTrust Securities USA. Transactions in securities discussed in this research report should be affected through BancTrust Securities USA.

Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)